

## Confirmation From Momentum

The technical aspects of the stock market advance from 1982 fit the theory that the Kondratieff cycle is operating. Figure 3-2 showed that the forecasted Cycle wave V bull market was to occur during the *declining* portion of the Kondratieff cycle, just as did the Cycle wave V bull market of the 1920s. A stock market advance against a declining cycle is usually thin in terms of the net daily advance-decline figures, which this one certainly has been, as illustrated in Figure 9-7. This fact confirms the long-standing interpretation of the position of the cycle.

In a similar vein, the price performance of the market often indicates the position of a cycle within *larger* cycles. Examine Figure 3-3 again and observe the dramatic lessening of long term upside progress dating back to 1929. This slowdown implies that a cycle even larger than the Kondratieff has been pointing down for a number of decades. Chapter 9 demonstrates that upside progress has continued to slow in the past eight years, and the past four years as well. Thus, the declining upside momentum of stock prices at various scales dates from as far back as 1929 and from as recently as 1966, 1987 and every year since 1991. This condition conforms to the thesis that numerous cycles, including the Kondratieff, are topping.

## Outlook

The assessment under the Wave Principle that a Grand Supercycle is ending places the next bear market in the class of the 1722-1784 experience, which involved *two* Kondratieff cycle lows. The expected duration of the impending bear market, as discussed in Chapter 5, could mean that as many as *three* Kondratieff cycle lows will occur within it. This forecast will focus only on the first one, as it will be hard enough to forecast. Possible dates for later lows are discussed briefly in Chapter 5 and at the end of this section.

As of 1995, the Kondratieff cycle is now in position to cause, as *Elliott Wave Principle* put it, "three or four years of severe depression and a long period of deflation." This is a good time to mention that because of that deflation, the final years of a Kondratieff economic cycle constitute the only time that falling interest rates are not reliably bullish for stocks and the economy. From 1929 to 1933,